

Greatest potential lies in economic relations

INTALKWITH

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India's Ambassador to Japan, Mr. HK Singh, gives an insight into the growing bi-lateral and economic relations between the two countries, in an interview with Veeshal Bakshi

■ **Can you provide us an insight into India-Japan relations over the last few years?**

India-Japan relations have intensified rapidly over the last few years and have entered a qualitatively new phase. Growing strategic convergences, economic complementarities and shared democratic values provide a durable basis for the long-term growth of these relations, which also benefit greatly from mutual public goodwill and bipartisan political support in both countries. Both sides recognize that these relations are vital for the progress and prosperity of our shared Asian region and beyond.

■ **What concrete steps are being taken by India and Japan to deepen bilateral and economic relations?**

The India-Japan Global and Strategic Partnership (GSP) was concretized during Hon'ble Prime Minister Dr. Manmohan Singh's visit to Japan in December, 2006. It is comprehensive in nature, covering cooperation in the political, defence and security fields; economic engagement; people-to-people exchanges; and concertation on regional and multilateral issues. The GSP process is driven by annual Summits and a supporting structure of multiple high-level dialogue mechanisms. We have also established a Roadmap for the New Dimensions of GSP in August, 2007 which is currently under implementation. Major initiatives under discussion include a CEPA to boost trade and investment; the Dedicated Freight Corridor (DFC) Project; and the Delhi-Mumbai Industrial Corridor (DMIC). We hope to achieve progress in these and other areas before our Prime Minister's visit to Japan for the annual bilateral Summit later this year.

Clearly, the greatest potential for growth lies in the area of India-Japan economic relations, where we are starting from a rather modest threshold. India's dynamic economy, youthful demographics, ample labour force and large market combine well with Japan's technological, manufacturing and financial prowess. The two Governments are working together to create a facilitating environment, but this is increasingly going to be a private sector and business opportunity led process. There are positive signs. Corporate Japan now regards India as the most preferred destination for long-term investments. Major manufacturing investments have been announced in India, the latest being by Toyota Motors. These will incentivise Japanese SMEs to also establish operations in India. From the Indian side, there is already a strong and growing presence of all our IT majors in Japan.

■ **Can you provide us with some details on the progress made in negotiations on Economic Partnership Agreement (EPA) between the two countries? When can we expect the EPA to become a reality?**

Modalities of negotiations for market access in respect of trade in goods have been agreed and offers exchanged. The objective is to achieve a high quality, mutually beneficial CEPA that addresses the concerns and interests of both sides. We still have quite some work to do over the summer, but the intention is to make substantial progress in finalizing the framework of CEPA prior to our Prime Minister's visit.